Overview of the Health and Medical Sector

31 January 2024

EXCISE DUTY

Type of incentive	**Conditions for granting exemption**
Nil duty on construction materials of a factory or warehouse exclusive of those available on the local market, locally produced raw materials and inputs. Beneficiary: Developers of industrial parks and free zones, operators and other investors in specified business which include; · Manufacture or assembling medical appliances, medical sundries or pharmaceuticals	A minimum capital investment requirement for duty exemption of US$10 million in the case of a foreigner or US$ 300,00 in case of a citizen; or US$150,000, for a citizen whose investment is placed up country. The business that qualifies for duty exemption; is required to employ at least 70% of its employees being citizens, earning an aggregate wage of at least 70% of the total wage bill.

STAMP DUTY

Type of incentive	**Conditions for granting exemption**

No Stamp duty on debentures, lease of land, Increase of share capital, transfer of land. Operator within an industrial park or free zone or an operator of a single factory or other business outside the industrial park who invests in medical appliances	Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives applies to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.
Nil Stamp Duty on debenture, further charge, lease of land, increase of share capital, transfer of land and agreement to provide services on conducting a feasibility study or developing a design for construction.	Must invest at least USD 5m. Develop a hospital at the level of a national referral hospital with capacity to provide specialized medical care.

VAT

Type of incentive	**Conditions for granting exemption**
The supply of drugs, medicines and medical sundries manufactured in Uganda are zero- rated	Must be manufactured in Uganda
VAT exemption at importation of medicine	For those in the business of importation

No VAT on the supply of feasibility study and design services and on the supply of locally produced raw materials and inputs.	Investment in manufacturing or assembling medical appliances, medical sundries or pharmaceutical. Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives apply to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.
No VAT on supply of feasibility study, design and construction services; or the supply of locally produced materials; or the supply of machinery and equipment or furnishings and fittings	Must invest at least USD 5 million. The feasibility study must be for the development of a hospital facility; or the construction of hospital premises and other infrastructure; or supply of the machinery, equipment, furnishings and fittings for use in the hospital facility. The investment must be for a hospital at the level of a national referral hospital with capacity to provide specialized medical care.

VAT registered persons claim all the VAT incurred.	Turnover of UGX 150m in any 12 months period for first time registration, ability to keep proper books of accounts and making taxable supplies.
Deemed VAT: Tax payable on a taxable supply made by a supplier to a contractor executing an aid-funded project is deemed to have been paid by the contractor provided the supply is for use by the contractor solely and exclusively for the aid funded project.	Contractors executing aid-funded projects

INCOME TAX

Type of incentive	Conditions for granting exemption

10 years Exemption of Income derived by a person from undertaking any of the listed business activities in the Industrial Park or Free Zone.	Operator in an Industrial Park or Free Zone who invests in manufacturing or assembling medical appliances, medical sundries or pharmaceuticals. Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives apply to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.

10 years Exemption of Income derived by a person from undertaking any of the specified business activities.	Investor outside an industrial park or free zone carrying out activities above. Must invest a minimum of USD 10m for foreign investors and USD 300,000 for EAC citizens or USD 150,000 where the investment is made upcountry. Incentive takes effect from the date of commencement of the specified business, same incentives apply to an existing operator in an Industrial Park or Free Zone. The investor must use at least 70% of locally sourced raw materials and employ at least 70% EAC citizens who must take up at least 70% of the wage bill.
6% WHT exemption	6 months renewable Where the Commissioner is satisfied that the taxpayer has regularly complied with the obligations under the tax laws

Indexation in the calculation of capital gains in order to account for inflation. Preferential treatment of capital gains tax for a venture capital fund registered under the Capital Markets Authority Act.	Before determining Capital Gains tax on a business asset, one will factor in inflation among others that influence the asset value. However, indexation shall not apply to an asset that is sold within twelve months from the date of purchase. A venture capital fund shall be entitled to a non-recognition of a gain or loss equivalent to the percentage of reinvested proceeds.
Recognition of losses	If for any year of income, the total business income earned by a taxpayer is less than the total expenses relating to the generation of the business income, the excess (loss) shall be carried forward and allowed as a loss in the following year. Note that it must be declared and proved by URA in the current year of income as a loss.
Wear and Tear	Wear and Tear allowance is granted for assets and equipment's owned by the entity and registered in the business names. The rates are as provided for in the Income Tax Act.

Allowable deduction of purchase expense from a supplier designated to use e-invoicing system	Allowable deduction of purchase expense from a supplier designated to use e-invoicing system. These suppliers will be gazetted and these expenses should be supported by e-invoices or e-receipts.
100% deduction of Scientific research expenditure	A person who incurs expenditure for scientific research
100% deduction of training Expenditure	Employers who train permanent residents or provide tertiary education not exceeding in the aggregate 5 years
Income tax exemption for Collective Investment Schemes	Must be licensed to operate as a collective investment scheme. Participants in the scheme should not have day to day control over the management of the property. Participants contributions and ultimate income/ profits must be pooled Property must be managed as a whole by the operator of the scheme.
Double Taxation Agreements (DTA): Investors from countries with active DTA's with Uganda i.e. United Kingdom, Denmark, Norway, South Africa, India, Italy, Netherlands and Mauritius. Withholding tax rates applicable to dividends, interests, management fees and royalties are 10% except UK at 15%	Beneficial owner of investment as defined in the Income Tax Act established with economic substance in a country with which Uganda has a DTA.

HEALTH AND MEDICAL SECTOR

Description **Tax incentive** **Any of the following goods engraved or printed or marked with the hospital logo imported for use in licensed hospitals, as recommended by the Director of Medical Services subject to such conditions and limitations as the Commissioner may impose.**	
a) Shadow less lamps for use in operating theaters	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
b) Blood freezers	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
c) Kitchen ware and equipment	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004

d) Laundry equipment	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
e) Mattresses and line	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management
f) Bedside screens	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
g) Air conditioners	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004

h) Water heating equipment	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
i) Packaging material for medicines	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
j) Furniture	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
k) Raw materials for the manufacture of medicaments	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004

l) Examination gloves for laboratory and medical use.	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
m) Hospital furniture imported by dealers for supply to licensed hospitals	• Exempted from excise duty under the Excise Duty Act.
n) X-Ray Machines for medical use. An X ray machine means an electrically powered device producing x rays for the irradiation of a human being or an animal for a therapeutic or diagnostic purpose or for industrial use	• Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.
o) Chemical Analyzers for blood analysis. A blood chemistry analyzer may be used to test for many things, such as blood cell counts, therapeutic drug monitoring, illegal drug use, blood typing	• Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.
p) Packaging material for medicines	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004

q) Medical Autoclaves. A medical autoclave is a device that uses steam to sterilize equipment and other objects. This means that all bacteria, viruses, fungi, and spores are inactivated	• Exempted from VAT under the VAT Act. Import duty is 0% under East African Community Common External Tariff.
r) Ophthalmic instruments and appliances. This device is used to examine the eye.	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
s) Dental drill equipment A dental drill or dentist's drill is a small, highspeed drill used during dental procedures, usually to remove decay and shape tooth structure prior to the insertion of a filling or crown. A dental drill may also be used in the cleaning and shaping of root canals during endodontic treatment, or to remove old or temporary filling s or crowns prior to the insertion of new or permanent restorations.	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
t) Ultrasound machinery An ultrasound machines makes images so that organs inside the body can be examined. The machine sends out high- frequency sound waves, which reflect off body structures. A computer receives the waves and uses them to create a picture. The test is done in the ultrasound or radiology department.	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.

u) Syringes A medical device that issued to inject fluid into, or withdraw fl fluid from, the body. A medical syringe consists of a needle attached to a hollow cylinder that is fi fitted with a sliding plunger.	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
v) Cardio graphic machine A machine for recording the beating of the heart.	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
Wheel chairs A wheelchair is a manually operated or power- driven device designed primarily for use by an individual with a mobility disability for the main purpose of indoor, or of both indoor and outdoor, locomotion.	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.
Crutches Medical Definition of Crutch. Crutch: A wooden or metal vertical prop that helps support a disabled person while he or she is walking. Arm crutches typically are metal and have a single shaft with a projecting handgrip and a cuff that closes around the arm. Crutches usually have a non-skid rubber tip on the bottom	• Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004.
Artificial parts of the body (teeth, leg s, joints). Dentures, (also known as false teeth), are prosthetic devices constructed to replace missing teeth; they are supported by the surrounding soft and hard tissues of the oral cavity. Conventional dentures are removable (removable partial denture or complete denture.	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.

A prosthesis is an artificial device/substitute or that replaces a missing body part such as tooth, leg, arm, knee, facial bone, another joint, hip etc which may be lost through trauma, disease, or congenital conditions	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
Hearing aid. A hearing aid is a small electronic device that you wear in or behind your ear. It makes some sounds louder so that a person with hearing loss can listen, communicate, and participate more fully in daily activities A hearing aid can help people hear more in both quiet and noisy situations	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
Medicated cotton wool	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
Medical bandage	• Exempted from VAT under the VAT Act. Import duty is 0 % under East African Community Common External Tariff.
Refrigeration equipment for dead bodies for use in Hospital, city council or funeral home.	• Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.

Motor boat ambulance	• Import duty is 0% under East African Community Common External Tariff and exempted from VAT

For more information, visit the nearest URA office for assistance or call the toll-free line ***0800117000/0800217000*** or WhatsApp: ***077214000***